

Hawassa University
Department of Management
Model Exam on International Marketing

Part I. Multiple Choice Questions: Choose the best answer for each question from the alternatives given.

Note: There is only one best answer for every question.

1. This kind of international marketing study contrasts two or more marketing systems to identify similarities and differences.
 - A. Domestic marketing
 - B. Foreign marketing
 - C. Comparative marketing
 - D. Extensive marketing

Answer: C

2. _____ is the multinational process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational objectives
 - A. Global Marketing
 - B. International Trade
 - C. International marketing
 - D. International finance

Answer: C

3. Identify the wrong definition of international marketing among the following
 - A. It refers to exchanges across national boundaries for the satisfaction of human needs and wants
 - B. It is the performance of business activities that direct the flow of a company's goods and services to consumers or users in more than one nation
 - C. It is the process of planning and executing the conception, pricing, promotion, and distribution of goods, services and idea to create exchanges that satisfy individual and organizational objectives exits in one nation
 - D. It is the process of buying and selling of goods and services more than country.

Answer: C

4. Different strategies are suitable for different companies depending on their particular situation. This is articulated by the "EPRG Framework". What are the four options of the EPRG Framework?
 - A. Ethno Policies, Private Polies, Racial Policies, Geography
 - B. Ethnocentrism, Polycentrism, Regio-centrism, Geo-centrism
 - C. Energy, Privacy, Real-World, Giggity
 - D. Ethnocentrism, Polycentrism, Racialism, Governmental

Answer: B

5. Subsidiaries consider the regional environment for strategy formulation is known as
- A. Polycentric Approach
 - B. Regio-centric Approach
 - C. Ethnocentric Approach
 - D. Geocentric Approach

Answer: B

6. Which one of the following phases of international marketing involvement deals with having no commitment or intention of maintaining continuous foreign market representation.
- A. Infrequent foreign marketing
 - B. Regular foreign marketing
 - C. No direct foreign marketing
 - D. International marketing

Answer: A

7. A stage of international marketing involvement in which a firm has permanent productive capacity devoted to the production of goods to be marketed on a continuous basis in foreign markets is referred to as
- A. Regular foreign marketing stage
 - B. International marketing stage
 - C. Global marketing stage
 - D. No direct foreign marketing stage

Answer: A

8. Which one is the right sequence of stages of Internationalization?
- A. Domestic, Transnational, Global, International, Multinational
 - B. Domestic, Multinational, International, Transnational, Global
 - C. Domestic, International, Multinational, Global, Transnational
 - D. Domestic, International, Transnational, Multinational, Global

Answer: D

9. Ethnocentrism can simply be defined as:
- A. Developing a simple diverse strategy for new markets
 - B. Develop one strategy for all countries worldwide
 - C. Use everywhere the same strategy as at home.
 - D. Being ethnically centered on a global scale

Answer: C

10. All are the characteristics of international marketing except
- A. Multiple currency
 - B. Homogeneous language
 - C. Diverse market
 - D. Many language and culture

Answer: B

11. Which one of the following are not the characteristics of domestic marketing?

- A. Homogenous market
- B. Single currency
- C. Multiple currency
- D. Similar culture

Answer: C

12. Compared to domestic marketing, international marketing has;

- A. Multiple and unstable business environments
- B. Diverse and fragmented markets
- C. More government influence and regulation
- D. All of the above

Answer: D

13. Identify the one that can be a reason why firms go international

- A. Competition
- B. Market saturation
- C. Globalization
- D. All of the above

Answer: D

14. Firms not go international

- A. To access the advanced technology and raw materials
- B. Due to the possibility of achieving economies of scale
- C. To enjoy tax incentives offered by some nations to attract local investors
- D. To have a safety net during business downturns

Answer: C

15. According to the theory of comparative advantage, a country will export a good only if

- A. It can produce it using less labor than other countries.
- B. Its productivity is higher in producing the good than the productivity of other countries in producing it
- C. Its cost of producing the good, relative to other goods, is at least as low as in other countries.
- D. All of the above.

Answer: D

16. Nations conduct international trade because:

- A. Interest rates are not identical in all trading nations
- B. Trade enhances opportunities to accumulate profits
- C. Resources are not equally distributed among all trading nations
- D. Some nations prefer to produce one thing while others produce other things.

Answer: D

Answer questions number 18 & 19 based on the production table below:

	Country output/hours	
Product	Ethiopia	Germany
Shoes	10	2
Soap	5	8

17. Germany has an absolute advantage in

- A. Shoes
- B. Soap
- C. Both shoes and soap
- D. Neither shoes nor soap

Answer: B

18. Ethiopia has an absolute advantage in

- A. Shoes
- B. Soap
- C. Both shoes and soap
- D. Neither shoes nor soap

Answer: A

19. Types of foreign exchange market involves exchange with in two business days

- A. Spot market
- B. Forward market
- C. Floating market
- D. Foreign exchange

Answer: A

Answer questions number 22 based on the given information

	Unit labor requirements	
Products	Australia	Belgium
Steels	3	8
Brooms	2	1

20. Suppose that Austria and Belgium have the unit labor requirements for producing steel and brooms shown in the table at the right. Then

- A. Belgium has a comparative advantage in brooms
- B. Austria has a comparative advantage in steel
- C. Austria has an absolute advantage in steel
- D. Belgium has an absolute advantage in brooms
- E. All of the above.

Answer: B

21. The act of restricting the amount of product imported in the country to protect the local firms from fierce competition refers_____

- A. Tariff
- B. Quota
- C. Export tariff
- D. Dumping

Answer: B

22. The relationship between merchandise imports and exports is referred to as

- A. Exchange rate
- B. Tariff
- C. Balance of payment
- D. Import quota

Answer: B

23. The rate at which one currency (dollar) is converted into another currency (birr) refers_____

- A. Tariff
- B. Tax
- C. Balance of payment
- D. Exchange rate

Answer: D

24. Which one the following is odd

- A. Marketing and sales
- B. Economic environments
- C. Socio-cultural Factors
- D. Technological environment

Answer: A

25. Which of the following represents the most dramatic factor shaping a modern marketer's destiny?

- A. Political environment
- B. Technological environment
- C. Natural environment
- D. Partnership marketing

Answer: B

26. Which of the following is not a benefit for conducting environmental analysis?

- A. An increase in an organization's exposure to politically unstable markets
- B. Aid to decision making
- C. Choice of market and marketing mix
- D. Prioritize and manage risk factors

Answer: A

27. Which of the following is the most important factor in an international marketer's success?

- A. Creation of a new marketing concept.
- B. The ability to adapt to different marketing environments.
- C. Development of new marketing processes.
- D. The evolution of unique marketing principles.

Answer: A

28. Culture usually imposes common habits of thoughts and shows the kind of behavior considered acceptable in the society. Which characteristics of culture best describe this statement?

- A. Culture is prescriptive
- B. Culture is subjective
- C. Culture is learned
- D. Culture is cumulative

Answer: A

29. Which one of the following is false about culture?

- A. Culture is socially shared
- B. Culture is subjective
- C. Culture is objective
- D. Culture is dynamic

Answer: C

30. Identify factor which does not encourage product standardization

- A. Industrial products
- B. Low costs of adaptation
- C. Economies of scale in production
- D. Economies in marketing

Answer: B

31. An arrangement to brand strategy in which the company may decide to use an existing brand name to launch a product in a new category is/are:

- A. Brand extension
- B. Line extension
- C. Multi brands
- D. New brand

Answer: A

32. If Toyota suggests its products as expensive, well built, well-engineered, durable, high prestige, high resale value, fast, and so on. This indicates the brand level of meaning towards its:

- A. Attributes
- B. Personality
- C. Benefits
- D. User

Answer: A

33. The most important factor which makes product modification mandatory is

- A. Electrical current standards
- B. Measurement standards
- C. Country's regulations
- D. Product standards

Answer: C

34. The stages of new product development do not include

- A. Business analysis
- B. Product development
- C. Test marketing
- D. Global positioning

Answer: D

35. The innovating firm's sales and export volumes are kept stable in this stage of IPLC.

- A. Introduction
- B. Maturity
- C. Worldwide imitation
- D. Growth

Answer: B

36.is a transaction in which an expanding firm buys either a controlling interest or all of an existing company in a foreign country.

- A. Acquisition
- B. Merger
- C. Joint venture
- D. Strategic alliance

Answer: B

37. Culture has an influence on the following except.

- A. Communication process
- B. Consumption
- C. Thinking process
- D. None of the above

Answer: D

38. Among the following one is the measures to minimize political risk in international marketing

- A. Sharing ownership
- B. Lobbying
- C. Political risk insurance
- D. All of the above

Answer: D

39. To protect the 'international property' of American film and recording studios, the government has vigorously sought the assistance of the Chinese government in the enforcement of copyright and patents aimed at the prevention of the practice of film and

recording piracy. American producers could recoup significant foreign revenues as a result of a successful implementation of domestic:

- A. Political policy
- B. Technological policy
- C. Competitive policy
- D. Economic policy

Answer: B

40. Among the following one is not the benefits of regional economic integration

- A. Trade creation
- B. Loss of national sovereignty
- C. Employment opportunities
- D. Consensus and cooperation

Answer: B

41. NAFTA stands for _____

- A. North African trade association
- B. North American Free Trade Agreement
- C. Northern Atlantic trade agreement
- D. Northern association for trade

Answer: B

42. Being a global organization means

- A. Customizing the product range for each segment in part.
- B. Creating standardized products for homogeneous markets
- C. Creating both standardized and customized products
- D. None of the above

Answer: C

43. Of the following one indicates when firms dedicated production capacity to foreign markets, own sales force/subsidiaries in foreign markets, and domestic market is still the prime focus, but as the foreign demand increased, production/products are adapted to meet those customer needs. Which one of it?

- A. Global Marketing
- B. Regular Foreign Marketing
- C. Infrequent Foreign Marketing
- D. International Marketing

Answer: B

44. Firms which are focusing on separate and distinct strategy for each foreign market and have decentralized marketing management is likely following:

- A. Ethnocentric orientation
- B. Polycentric orientation
- C. Regiocentric orientation
- D. Geocentric orientation

Answer: C

45. Which one of the following is not the advantages of first movers/early entry in international marketing entry

- A. The ability to build up sales volume in that country
- B. The ability to preempt rivals and capture demand
- C. Minimum costs of promoting and establishing a product offering
- D. Gain a cost advantage over later entrants

Answer: D

46. All are entry methods in international marketing except

- A. Franchising agreements
- B. Sanctions
- C. Joint ventures
- D. Foreign direct investment

Answer: B

47. A licensing agreement:

- A. Results in two firms agreeing to share the risks and the resources of a new venture
- B. Is best way to protect proprietary technology from future competitor
- C. Allows a foreign firm to purchase the rights to manufacture and sell a firm's products within a host country
- D. Can be greatly impacted by currency exchange rate fluctuations

Answer: C

48. The means of entry into international markets that offers the greatest control is

- A. Licensing
- B. Wholly Owned Subsidiaries
- C. Joint ventures
- D. Acquisitions

Answer: B

49. An international marketing entry strategy that occurs when two or more companies form a temporary partnership for the purpose of capitalizing on some opportunity is called

- A. Strategic alliances
- B. Joint venture
- C. Licensing
- D. Exporting

Answer: A

50. Why do marketers preferred foreign direct investment as a best entry strategy in abroad market

- A. Availability of raw materials in the target country
- B. To avoid tariff barriers of exporting
- C. To penetrate into the local market quickly
- D. It gives an opportunity to learn overseas markets before investing

Answer: A

51. Which of the following statement is false?

- A. Franchising is most appropriate in fragmented industries
- B. Franchising provides corporate growth with less risk than do mergers and acquisitions
- C. Successful franchising allows transfer of knowledge and skills from the franchisor to the franchisee
- D. Franchising agreements require more trust between firms than do other cooperative strategies

Answer: C

52. An entry strategy of international marketing which is based on a fixed fee or cost plus arrangement and includes plant construction, personnel training, and initial production runs is known as

- A. Patent licensing agreement
- B. Turnkey operations
- C. Management contracts
- D. Franchising

Answer: B

53. This component of the promotion mix is temporary in nature.

- A. Advertising
- B. Personal selling
- C. Publicity
- D. Sales promotion

Answer: D

54. This intermediary is a foreign firm that has exclusive rights to carry out distribution for a manufacturer in a foreign country.

- A. Foreign distributor
- B. Foreign retailer
- C. Manufacturer's export agent
- D. Export Management Company

Answer: A

55. This intermediary does not take title to the goods.

- A. Export management company
- B. Foreign distributor
- C. Export merchant
- D. Export distributor

Answer: A

56.very high introductory price is fixed to skim the cream of the demand.

- A. Skimming pricing strategy
- B. Penetration pricing
- C. Cost-plus of pricing

D. Mark-up pricing

Answer: A

57. Why is creation of a product the starting point for the marketing mix?

- A. The production department must know what to produce first
- B. Production strategy is the first of the four Ps listed in the marketing mix
- C. Determination of the price, promotional campaign, and distribution network cannot begin until the product has been specified
- D. Product development takes the longest amount of time to complete

Answer: C

58. A marketer who exports a product originally designed for a local market to other countries with virtually no change is employing

- A. Segmented marketing
- B. Standardization
- C. Mass marketing
- D. Modification

Answer: B

59. When a management believes or assumes that home country is superior and the needs of home country are most relevant in terms of doing business internationally, then the management is thought to have a(an) _____.

- A. Ethnocentric orientation
- B. Polycentric orientation
- C. Regiocentric orientation
- D. Geocentric orientation

Answer: A

60. The act of modifying the company's existing product in a way that makes it fit better with local needs refers _____

- A. Standardization
- B. Segmentation
- C. Targeting
- D. Adaptation

Answer: D

61. An international marketer can

- A. Export the home market product to foreign markets
- B. Adapt the home market product to meet the needs of foreign customers more closely
- C. Develop new products to meet the specific needs of customers in foreign markets
- D. All of the above

Answer: D

62. Among the following one is not the mandatory factor affecting product modification

- A. Government's regulation
- B. Electrical current standards

- C. Measurement standards
- D. None of the above

Answer: D

63. Registered brand is known as _____.

- A. Trademark
- B. Product
- C. Patent
- D. Service

Answer: A

64. Using a successful brand name to introduce additional items in a given product category under the same brand name(such as new flavors, forms, colors, added ingredients, or package sizes) is called:

- A. Line extension
- B. Brand extension
- C. Multi branding
- D. New brands

Answer: A

65. If Honda uses its company name to cover such different products as its automobiles, lawn mowers, and motorcycles, it is practicing which of the following strategies?

- A. New brand strategy
- B. Line extension strategy
- C. Multi brand strategy
- D. Brand extension strategy

Answer: D

66. _____ refers to the pricing of goods and services bought and sold between a company subsidiary units operating in different countries.

- A. Price skimming
- B. Transfer pricing
- C. Price escalation
- D. Dumping

Answer: B

67. The process of dividing the world market into distinct subsets of customers that behave in the same way or have similar needs is/are;

- A. Target marketing
- B. Market segmentation
- C. Market positioning
- D. Market development

Answer: B

68. To Ethiopia students, Egypt marketing is

- A. Domestic marketing
- B. Foreign marketing

- C. Comparative marketing
- D. International marketing

Answer: B

69. According to the textbook, international marketing is "the multinational process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational objectives." The definition fails to recognize

- A. Non-profit marketing
- B. Business-to-business marketing
- C. Consumer marketing
- D. Integrated marketing

Answer: B

70. Product sales decline for many reasons, including which of the following

- A. Recent technological advances
- B. Constant in competitors strategies
- C. Unchanged in consumer tests
- D. Weak in competition

Answer: A

71. _____ is the disproportionate difference in price between the exporting country and the importing country

- A. Price escalation
- B. Dual pricing
- C. Transfer pricing
- D. Price penetration

Answer: B

72. Which tool of the promotional mix consists of short-term incentives to encourage the purchase or sale of a product or service?

- A. Advertising
- B. Public relations
- C. Sales promotion
- D. Personal selling

Answer: C

73. One of the following alternatives does not characterize advertising

- A. It provides opportunity for dramatizing the company & its product
- B. It is impersonal communication
- C. It covers a large number of audiences
- D. It is two-way communication

Answer: D

74. If a company wants to build a good "corporate image," it will probably use which of the following marketing communications mix tools?

- A. Sales promotion

- B. Advertising
- C. Public relations
- D. Direct marketing

Answer: C

75. Of the 4 Ps, the one that receives the least attention, domestically and internationally, is

- A. Product
- B. Place
- C. Promotion
- D. Price

Answer: D

76. Assume Ethiopian industry Parks Corporation is offering scholarships worth one million dollar to Ethiopian students. This highlights

- A. Advertising clutter
- B. Corporate social responsibility
- C. Advertising revolution
- Mass advertising

Answer: C

77. Which of the following would not be the primary objectives of advertising?

- A. To inform
- B. To persuade
- C. To remind
- D. To maximize profits

Answer: D

78. Which one of the following statement is incorrect

- A. Personal selling allows two way interaction and feedback
- B. Public relations can enhance a firm's reputation and image with the general public
- C. Sales promotion can bring large number of customers quickly
- D. Personal selling is the cheapest tools of promotion

Answer: D

79. Keeping consumers thinking about the product is the objective for which type of advertising

- A. Informative advertising
- B. Psychological advertising
- C. Reminder advertising
- D. Persuasive advertising

Answer: C

80. A set of interdependent organizations that help make a product or service available for use or consumption by the consumer or business user refers _____

- A. Distribution channel
- B. Price

- C. Product
- D. Promotional mix

Answer: A

81. _____ Management involves managing all activities related to the movement of materials and goods.

- A. Marketing
- B. Production
- C. Supply chain
- D. Sales

Answer: A

82. The middlemen who do not take any title to goods

- A. Retailer
- B. Wholesaler
- C. Agent
- D. Foreign merchant

Answer: C

83. The approaches of distribution deals with one intermediary or one type of intermediary refers _____

- A. Mass distribution
- B. Selective distribution
- C. Exclusive distribution
- D. Intensive distribution

Answer: C

84. An analysis of the external environment enables a firm to identify

- A. Strengths and opportunities
- B. Strengths and weaknesses
- C. Weaknesses and threats
- D. Opportunities and threats

Answer: D

85. Being a global organization means-

- A. Customizing the product range for each segment in part
- B. Creating standardized products for homogeneous market
- C. Creating both standardized and customized products
- D. Producing customized products for homogeneous markets

Answer: C

86. Which of the following represents a company's effort to identify and categorize groups of customers and countries according to common characteristics?

- A. Global positioning
- B. Global market segmentation

- C. Global market research
- D. Global targeting

Answer: B

87. From the point of view of marketing, an organization that enjoys competitive advantage in an industry has done so by-

- A. Creating superior value for customers
- B. Focusing on long-term profit
- C. Charging lower prices than competition
- D. Constantly enlarging its market activities

Answer: A

88. The work of an international marketer is mainly concerned with

- A. Translating product instructions and advertising messages
- B. Establishing global brands
- C. Transferring a marketing mix to enter a market in another country
- D. Adapting a marketing mix to enter a market in another country

Answer: D

89. An analysis of the Internal environment enables a firm to identify

- A. Strengths and opportunities
- B. Strengths and weaknesses
- C. Weaknesses and threats
- D. Opportunities and threats

Answer: B

90. This entry strategy involves having an agreement that permits a foreign company to use industry property, technical knowhow, or engineering design in a foreign market.

- A. Exporting
- B. Licensing
- C. Joint venture
- D. Foreign direct investment

Answer: B

91. This market entry strategy should be used when a company faces high tariffs but does not want to lose control of its operations.

- A. Management contract
- B. Licensing
- C. Exporting
- D. Manufacturing

Answer: D

92. This strategy involves manufacturing operations in a host country for the purpose of exporting a product made there to a company's home country or to other third countries.

- A. Joint venture

- B. Outsourcing
- C. Assembly
- D. Licensing

Answer: B

93. According to the view of Michael Porter, firm first develop product for domestic market and later on launch in international market. This view is consistent with which of the following factors?

- A. Factor conditions
- B. Demand conditions
- C. Related and supporting industries
- D. Firm strategy, structure and rivalry

Answer: D

94. The firm's sales and export volumes are kept stable in this stage of International Product Life Cycle.

- A. Introduction
- B. Maturity
- C. Growth
- D. Reverse

Answer: B

95. Most international trade today is classified as trade in

- A. Services
- B. Agricultural products
- C. Manufactured products
- D. Dairy product

Answer: C

96. An arrangement whereby a company operates a foreign firm for a client who retains the ownership is known as

- A. Licensing
- B. Franchising
- C. Management contracts
- D. Joint ventures

Answer: C

97. Which one of the following is NOT foreign production?

- A. Turnkey projects
- B. Strategic alliances
- C. Franchising
- D. Management contract

Answer: B

98. is the activities of designing and producing the container or wrapper for a product.

- A. Labeling
- B. Branding

- C. Packaging
- D. Marking

Answer: C

99. refers to the policy where the advertising in domestic market is extended to foreign markets in its forms, appeals and other selling propositions.

- A. Remainder Advertising
- B. Unified advertising
- C. Diversified advertising
- D. Informative advertising

Answer: B

100. Which one of the following is a design and management of a system that directs and controls the flows of materials into, through and out of the firm across national boundaries to achieve its corporate objectives at a minimum total cost

- A. Global logistics
- B. Local logistics
- C. Physical distribution
- D. Source financing

Answer: A

101. Distribution channels vary depending on which of the following?

- A. Target market size
- B. Competition
- C. Available distribution intermediaries
- D. All of the above

Answer: D

102. According to the textbook, international marketing is “the multinational process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational objectives.” The definition fails to recognize:

- A. Nonprofit marketing
- B. Business-to-business marketing
- C. Consumer marketing
- D. Integration of the 4 PS's

Answer: B

103. All of the following are actual modes of market-entry EXCEPT:

- A. Licensing
- B. Standardization
- C. Franchising
- D. Product life cycle

Answer: B

104. Ethnocentrism can simply be defined as:

- A. Developing a simple diverse strategy for new markets
- B. Develop one strategy for all countries worldwide
- C. Use everywhere the same strategy as at home.
- D. Being ethnically centered on a global scale

Answer: B

105. Which of the following would you consider to be a socio-cultural influence on international marketing?

- A. Language
- B. Religion
- C. Social organization
- D. All of the above

Answer: D

106. This is the feeling within a culture that its values are superior to those of foreign cultures.

- A. Ethnocentricity
- B. Polycentricism
- C. Egocentricity
- D. All of the above

Answer: A

107. Strong orientation toward the home country is an indication of:

- A. Ethnocentricity
- B. Polycentricism
- C. Egocentricity
- D. All of them

Answer: A

108. Which of the following international intermediaries often has exclusive sales rights in a specific country and works in close cooperation with the manufacturer?

- A. Foreign-country broker
- B. Managing agent
- C. Dealer
- D. Foreign distributor

Answer: D

109. Which of the following external intermediaries does not take title to the goods that they process?

- A. Merchant intermediaries
- B. Export merchants
- C. Trading companies
- D. Agent intermediaries

Answer: C

110. How do the vast majority of services enter a foreign market?

- A. Exporting
- B. Importing

- C. Brokers
- D. Licensing, Franchising, or Direct Investment

Answer: D

111. _____ usually means that the company sells to a customer in another country, be it an intermediary or an end-customer.

- A. Indirect exporting
- B. Direct Exporting
- C. Franchising
- D. Cross selling

Answer: B

112. Which of the following alternative market entry modes offers the least risk?

- A. Consortia
- B. Strategic International Alliance
- C. Contract Manufacturing
- D. Mergers and Acquisitions

Answer: C

113. Which of the following alternative market entry modes offers the most control and risk?

- A. Franchising
- B. Licensing
- C. Greenfield
- D. Strategic Alliance

Answer: C

114. Extension of marketing activities across the globe is called as _____.

- A. International Business
- B. Universal Marketing
- C. International Marketing
- D. Borderless Marketing

Answer: C

115. _____ Factors affects international marketing decision

- A. Political
- B. Economical
- C. Social
- D. All of the above

Answer: D

116. _____ is the performance of business activities that direct the flow of a company's goods and services to consumers or users in more than one nation for a profit.

- A. Intranational Marketing
- B. International Marketing
- C. Multinational Marketing

D. Universal Marketing

Answer: B

117. _____ is the systematic design, collection, analysis and reporting of data and findings relevant to a specific marketing situation facing the company

- A. Business analytics
- B. Marketing research
- C. Marketing survey
- D. Marketing information system

Answer: B

118. The term green marketing in International Marketing is related to _____

- A. Influence of green color on marketing decisions
- B. Environmental concerns and protection
- C. Marketing of Natural Farmings
- D. Greenhouse effect

Answer: B

119. The short-term motivation schemes prepared for purchase promotion are known as-

- A. Personal sale
- B. Sales promotion
- C. Advertisement
- D. Packaging

Answer: B

120. Which of the following is more effective tool for promotion process?

- A. Advertisement**
- B. Personal Sale**
- C. Publicity
- D. Sales promotion

Answer: B

121. The most dramatic of the environments the effect marketing and appears to be now shaping our world is the environment.

- A. Natural
- B. Demographic
- C. Economic
- D. Technological

Answer: D

122. _____ usually means that the company sells to a customer in another country, be it an intermediary or an end-customer.

- A. Indirect exporting
- B. Direct Exporting
- C. Franchising
- D. Cross selling

Answer: B

123. Which of the following alternative market entry modes offers the least risk?

- A. Consortia
- B. Strategic International Alliance
- C. Contract Manufacturing
- D. Mergers and Acquisitions

Answer: C

124. Which of the following alternative market entry modes offers the most control and risk?

- A. Franchising
- B. Licensing
- C. Greenfield
- D. Strategic Alliance

Answer: C

125. _____ are a partnership of two or more companies that join forces to create a separate legal entity.

- A. Joint Ventures
- B. International Consortia
- C. Mergers and Acquisitions
- D. Co-Branding

Answer: A

126. The concept of quality encompasses many factors, and the perception of quality rests solely with the _____.

- A. Price
- B. Value
- C. Sellers
- D. Customer

Answer: D

127. How do the vast majority of services enter a foreign market?

- A. Exporting
- B. Importing
- C. Brokers
- D. Licensing, Franchising, or Direct Investment

Answer: D

128. A successful _____ is the most valuable resource a company has.

- A. Marketing Campaign
- B. CEO
- C. Product
- D. Brand

Answer: D

129. One is not the advantages of employing an indirect domestic channel

- A. The channel is simple and inexpensive

- B. Active market exploitation
- C. The manufacturer incurs no marketing/start-up cost for the channel
- D. The manufacturer is relieved of the responsibility of physically moving the goods overseas.

Answer: A

130. _____ Purchase goods from a large number of manufacturers, ship them to foreign countries, and take full responsibility for their marketing

- A. Export Management Company
- B. Import Management Company
- C. Export Management Company
- D. Export merchants

Answer: D

131. When traveling overseas, it is almost impossible for a person to observe foreign cultures without Making reference, perhaps unconsciously, back to personal cultural values, This phenomenon is known as:-

- A. Ethnocentrism
- B. Cultural relativism
- C. Self-reference criterion
- D. Norms

Answer: A

132. Distribution channels vary depending on which of the following?

- A. Target market size
- B. Competition
- C. Available distribution intermediaries
- D. All of the above

Answer: D

133. Culture is shared and passed down from generation to generation it is relatively stable and somewhat permanent. Which characteristics of culture this refers?

- A. Culture is socially shared
- B. Culture is learned
- C. Culture is enduring
- D. Culture is cumulative

Answer: A

134. All of the following are accurate descriptions of concept marketing, EXCEPT which one

- A. Marketing is the creation of value for customers.
- B. Marketing is managing profitable customer relationships.
- C. Marketing involves satisfying customers' needs.
- D. Marketing is used by for-profit and not-for-profit organizations

Answer : D

135. Which of the following is known to consists of diverse collection of incentive tools, mostly short term designed stimulate sale of particular products?

- A. Personal selling
- B. Advertising

- C. Public relation
- D. Sales promotion

Answer: D

136. From the strategies of distribution, which involves only on wholesaler, retailer or industrial distributors handling the company's goods or services?

- A. Exclusive distribution
- B. Selective distribution
- C. Intensive distribution
- D. Mass distribution

Answer: A

137. Which one of the following is the act of obtaining a desired object from someone by offering something in return?

- A. Barter
- B. Exchange
- C. Bribery
- D. Transactions

Answer: B

138. Consumer research, product development, promotion, distribution, pricing, and service are all the core activities of

- A. Finance
- B. Marketing
- C. Management
- D. Production

Answer: B

139. Amazon.com leverages relationships with its 35 million customers by offering them music, videos, gifts, toys, consumer electronics, and office products, among other items. Based on previous purchase history, the company recommends related CDs, books, videos, or other products that might interest a customer. This most directly helps Amazon.com capture a greater

- A. Customer lifetime value
- B. Share of customer
- C. Profit margin
- D. Share of market

Answer: B

140. Ruhama enjoys her work at Hewan Designs, Inc. Her organization understands and anticipates customer needs even better than customers themselves do and creates products and services to meet current and future wants and demands. Ruhama firm practices.

- A. Customer-driven marketing
- B. Customer-driving marketing
- C. Relationship marketing
- D. Social marketing

Answer: A

141. All of the following are accurate descriptions of concept marketing, EXCEPT which one

- A. Marketing is the creation of value for customers.
- B. Marketing is managing profitable customer relationships.
- C. Marketing involves satisfying customers' needs.

D. Marketing is used by for-profit and not-for-profit organizations

Answer: D

142. Which of the following is known to consists of diverse collection of incentive tools, mostly short term designed stimulate sale of particular products

- A. Personal selling
- B. Advertising
- C. Public relation
- D. Sales promotion

Answer: D

143. The selling concept says that a company should do which of the following

- A. Improve marketing of its best products
- B. Market only those products with high customer appeal
- C. Focus on making continuous product improvements
- D. Make promoting products the top priority

Answer: D

144. Building, keeping, and growing profitable a relationship by delivering customer value and satisfaction is called

- A. Customer lifetime value
- B. Customer perceived value
- C. Customer relationship management
- D. Societal marketing

Answer: C

145. Which of the following best explains why consumers have greater power and control in today's marketplace?

- A. Implementation of the product concept has resulted in continually improving products.
- B. Customer-driven marketing creates products and services that meet customers' future needs.
- C. More companies are implementing social marketing and weighing long-term costs and benefits.
- D. Through new communication technologies, customers have more access to information and more methods of sharing their opinions with other customers.

Answer: D

146. Mr. Anbese Tilahun, the owner of a highly successful regional supermarket chain, reacts adversely to losing a single customer sale. He feels that this amounts to losing the entire stream of future purchases that a customer is likely to make if he or she remains in the area. Mr. Anbese concern is an illustration of which of the following.

- A. Market share
- B. Profitability
- C. Customer lifetime value
- D. Market share maintenance

Answer: D

147. Which type of organization helps companies to stock and move goods from their points of origin to their destination?

- A. Financial intermediaries
- B. Physical distribution firms
- C. Marketing services agencies
- D. Competitor company

Answer: B

148. Banks, credit companies, insurance companies, and other businesses that help finance transactions or insure against the risks associated with the buying and selling of goods and services are referred to as _____.

- A. Rivalry firms
- B. Financial intermediaries
- C. Physical distribution firms
- D. Marketing services agencies

Answer: B

149. A _____ is defined as any group that has an actual or potential interest in, or impact on, an organization's ability to achieve its objectives.

- A. Competitor
- B. Government
- C. Intermediary
- D. Society

Answer: C

150. What is the first step in the marketing research process?

- A. Developing a marketing information system
- B. Defining the problem and research objectives
- C. Developing the research plan for collecting information
- D. Implementing the research plan

Answer: B

151. Which type of market buys goods and services for further processing or for use in the production process?

- A. Business
- B. Reseller
- C. Wholesale
- D. Consumer

Answer: A

152. _____ is the systematic collection and analysis of publicly available information about consumers, competitors, and developments in the marketing environment.

- A. Marketing intelligence
- B. Sales management
- C. Customer intelligence
- D. Competitive intelligence

Answer: A

153. Which one of the following is the systematic design, collection, analysis, and reporting of data relevant to a specific marketing situation facing an organization.

- A. The marketing information system
- B. Marketing intelligence
- C. Marketing research
- D. Competitive intelligence

Answer: C

154. When a company reviews sales, costs, and profit projections for a new product to find out whether these factors satisfy the company's objectives, they are in which of the following new process development stages?

- A. Business analysis
- B. Concept development and testing
- C. Commercialization
- D. Marketing strategy development

Answer: A

155. Ethnocentrism can simply be defined as:

- A. Developing a simple diverse strategy for new markets
- B. Develop one strategy for all countries worldwide
- C. Use everywhere the same strategy as at home.
- D. Being ethnically centered on a global scale

Answer: C

156. _____ usually means that the company sells to a customer in another country, be it an intermediary or an end-customer.

- A. Indirect exporting
- B. Direct Exporting
- C. Franchising
- D. Cross selling

Answer: B

157. Extension of marketing activities across the globe is called as _____.

- A. International Business
- B. Universal Marketing
- C. International Marketing
- D. Borderless Marketing

Answer: C

158. The disproportionate difference between price in exporting and importing country is refers to?

- A. Price Inflation
- B. Price Deflation
- C. Price escalation
- D. None

Answer: A

159. Which one is not the reason for trade barriers?

- A. Promote export activity
- B. Protect infant industries
- C. Reduce reliance on foreign suppliers
- D. None

Answer: A

160. When traveling overseas, it is almost impossible for a person to observe foreign cultures without making reference, perhaps unconsciously, back to personal cultural values. This phenomenon is known as:-

- A. Ethnocentrism
- B. Cultural relativism

- C. Self-reference criterion
- D. Norm

Answer: A

161. Which one of the following statement is wrong?

- A. Standardization is common for certain agricultural products, raw materials
- B. Product standardization or customization is not depends on the type of product
- C. Some products by their very nature are not or cannot be easily modified
- D. None

Answer: A

162. Among the following which one is the functional purpose of packaging?

- A. Attracting the buyer's attention
- B. Identifying the product
- C. Providing a reason to buy
- D. Capability of protecting the product

Answer: A

163. The international market goes beyond the ____ marketer and becomes more involved in the marketing environment in the countries in which it is doing business.

- A. Export
- B. Import
- C. Multinational
- D. Domestic

Answer: A

164. The one significant reason for the Trade to become global is –

- A. Communication opportunities
- B. Technology
- C. Improved transportation
- D. All of the above

Answer: B

165. ____ is the principle of organization of a region around several political, social or financial centers.

- A. Ethnocentrism
- B. Polycentrism
- C. Marketing expansion
- D. Global marketing

Answer: B

166. It is the act of reducing government-imposed constraints on the behavior of actors in the economy.

- A. Privatization
- B. Liberalization
- C. Deregulation
- D. All of the above

Answer: B

167. It is a market model in which trade in goods and services between or within countries flow unhindered by government-imposed restrictions.

- A. Liberalization
- B. Free trade
- C. Trade barriers
- D. All of the above

Answer: B

168. Restrictions to trade include:

- A. Taxes & tariffs
- B. Legislation & quotas
- C. Non-tariff barriers
- D. All of the above

Answer: D

169. The ultimate threat a government can pose toward a company is-

- A. Expropriation
- B. Sovereignty
- C. Statue law
- D. None of the above

Answer: A

170. Occurs if ownership of the property or assets in question is referred to as confiscation.

- A. Privatization
- B. Nationalization
- C. Expropriation
- D. Compensation

Answer: B

171. It facilitates marketing agencies and producers by reducing transaction costs.

- A. Rules & conventions
- B. Licensing
- C. Legal environment
- D. Norms & standards

Answer: B

172. It is the unauthorized copying and production of a product.

- a. Patent
- b. Trade secret
- c. Counterfeiting
- d. Copyrights

Answer: B

173. The tendency to view one's culture to be superior to others.

- a. Ethnocentric
- b. Ethnocentrism
- c. Self-reference

d. Material culture

Answer: B

174. ____ is the most traditional and well-established form of operating in foreign markets.

- a. Importing
- b. Exporting
- c. Country centered
- d. None of the above

Answer: B

175. This method means that organizations with little exporting skill may use the services of one that has.

- a. Piggybacking
- b. Countertrade
- c. Closed-end barter
- d. All of the above

Answer: B

176. ____ refers to the idea that the resources held by two firms, when combined, add up to more than the sum of their parts.

- a. Shared Knowledge
- b. Synergy
- c. Strategic Alliance
- d. Joint Venture

Answer: B

177. Liberalization can be achieved by:

- a. Privatization & deregulation
- b. Privatization & diversification
- c. Deregulation & diversification
- d. None of the above

Answer: A

178. ____ strategies correspond to ethnocentric and polycentric orientations and ____ strategies corresponds with geocentric orientation.

- a. Global, Multinational
- b. Multinational, Global
- c. International, Multinational
- d. International, Global

Answer: B

179. A company is in the stage of the new product development process when the company develops the product concept into a physical product in order to assure that the product idea can be turned into a workable product.

- A. Commercialization
- B. Marketing strategy
- C. Product development

D. Business analysis

Answer C

180. The process of market segmentation is strongly related to which other marketing concept?

- A. Brand management
- B. Economic analysis
- C. Distribution strategies
- D. Product differentiation

Answer D

181. Distribution channels are...

- A. Paths of product life cycle
- B. The paths products take from the producer to the consumer
- C. Ways of buying goods
- D. The paths products take from wholesaler to consumer

Answer B

182. Introducing a new product at a price low enough to attract a large share of the market is called:

- A. Skimming pricing
- B. Psychological pricing
- C. Penetration pricing
- D. Geographic pricing

Answer C

183. Which of the following is a stage in the new product development process, undertaken when a new product is tested with a sample of customers, or is launched in a specified geographical area, to judge customers' reactions prior to a national launch?

- A. Test marketing
- B. Commercialization
- C. Business analysis
- D. Idea screening

Answer A

184. Which can be presented to consumers symbolically or physically?

- A. Test marketing
- B. Concept testing
- C. Business analysis
- D. Product concept

Answer B

185. What is another name for the practice of introducing a new product at a high price for a brief period, in the hopes of recouping production costs?

- A. Penetration pricing
- B. Skimming pricing
- C. Cost plus pricing
- D. Mark-up pricing

Answer B

186. Which phase of the product life cycle is considered to be the most critical?

- A. Introduction
- B. Growth
- C. Maturity

D. Decline

Answer A

187. When a company strives to appeal to multiple well defined market segments with a strategy tailored to each segment, it is applying

- A. Undifferentiated marketing
- B. Differentiated marketing
- C. Concentrated marketing
- D. Mass marketing

Answer D

189. When the focus is on making a single product and selling it to several different market segments, it is

- A. Selective specialization
- B. Product specialization
- C. Market specialization
- D. Full market coverage

Answer B

190. The groups within a company such as top management, finance, and R&D are called the

- A. Macro-environment
- B. Internal environment
- C. Natural environment
- D. Uncontrollable environment

Answer B

191. The groups within a company such as top management, finance, and R&D are called the

- A. Macro-environment
- B. Internal environment
- C. Natural environment
- D. Uncontrollable environment

Answer B

192. Why does a business create a unique selling point for a product?

- A. To design the look of packaging
- B. To set the product's price
- C. To gain a competitive advantage
- D. To reduce product life cycle span

Answer C

193. _____ is the strategy by which one firm attempts to distinguish its product from competitive brands offered to the same aggregate market.

- A. Market development
- B. Product differentiation
- C. Market segmentation
- D. Product development

Answer B

194. Anything that can be offered to a market for attention, acquisition, use, or consumption that might satisfy a want or need is called:

- A. Idea
- B. Demand
- C. Product

D. Service

Answer C

195. If the aim of the promotion to introduce a new consumer product is to achieve high awareness levels, the firm will most likely make heavy use of _____ in the promotional mix.

- A. Advertising
- B. Sales promotion
- C. Personal selling
- D. Publicity

Answer A

196. “Buy it now” refers to which one of the following options

- A. Publicity
- B. Personal selling
- C. Advertising
- D. Sales promotion

Answer B

197. The following are the objectives of promotion except:

- A. To deliver goods on time
- B. To support sales increases
- C. To create awareness
- D. To create an image

Answer A

198. The development of ____ has gone a long way to reducing the element of “foreignness”.

- A. GATT
- B. NATO
- C. EU
- D. All of the above

Answer D

199. Potential sources of political complication include:

- A. Social unrest
- B. Attitudes of nationals
- C. Policies of the host government
- D. All of the above

Answer D

200. All exports operate within an institutional environment, which is made up of a set of ____ ground rules.

- A. Political
- B. Social
- C. Legal
- D. All of the above

Answer D